



Business Analysis & Valuation

Epigral Ltd

Company Overview

Introduction

Epigral Limited, hereinafter referred to as “the Company,” was incorporated on 19 June 2007 in Ahmedabad, Gujarat, and became a publicly listed company on 18 August 2021 following its demerger from Meghmani Organics and listing on the NSE and BSE. The Company is engaged in the manufacturing and sale of chlor-alkali and its derivatives, along with trading of agrochemical products. It commenced its chlor-alkali operations in 2009. Over time, Epigral expanded its installed capacity. In subsequent years, the Company diversified its product portfolio by commissioning plants for CPVC resin and Epichlorohydrin (ECH). The Company has since transformed from a chlor-alkali manufacturer into a downstream specialty chemical company through capacity expansion and integration at its Dahej, Gujarat complex. It produces caustic soda, chlorine, and hydrogen as base chemicals and utilizes them internally to manufacture higher-value derivatives such as epichlorohydrin (a key precursor for epoxy resins), CPVC resin, and other chlorinated intermediates used in pharmaceuticals, agrochemicals, construction materials, and performance plastics.

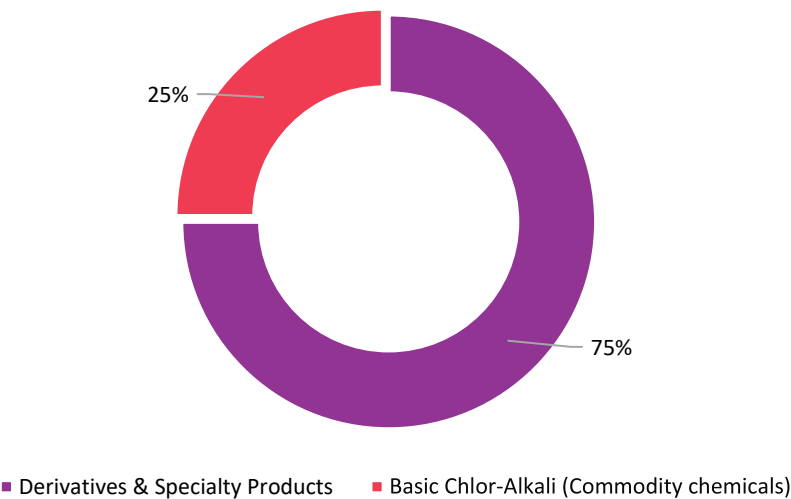
Business Presence

The Company operates a centralized manufacturing facility at Dahej, Gujarat and supplies products pan-India to industrial customers, along with exports to international markets. in Asia and the Middle East. The Company caters to industries including construction, renewable energy, electronics, pharmaceuticals and agrochemicals through its chlor-alkali and downstream specialty chemical portfolio.

Key Products/ Brands

The Company produces base chlor-alkali chemicals and converts them into higher-value downstream products such as CPVC resin and epichlorohydrin, serving construction, renewable energy, pharmaceutical and agrochemical industries. Its integrated manufacturing model enables cost efficiency, import substitution and reduced exposure to commodity chemical cyclicality.

Product Wise Revenue Breakup



Global Economy Overview

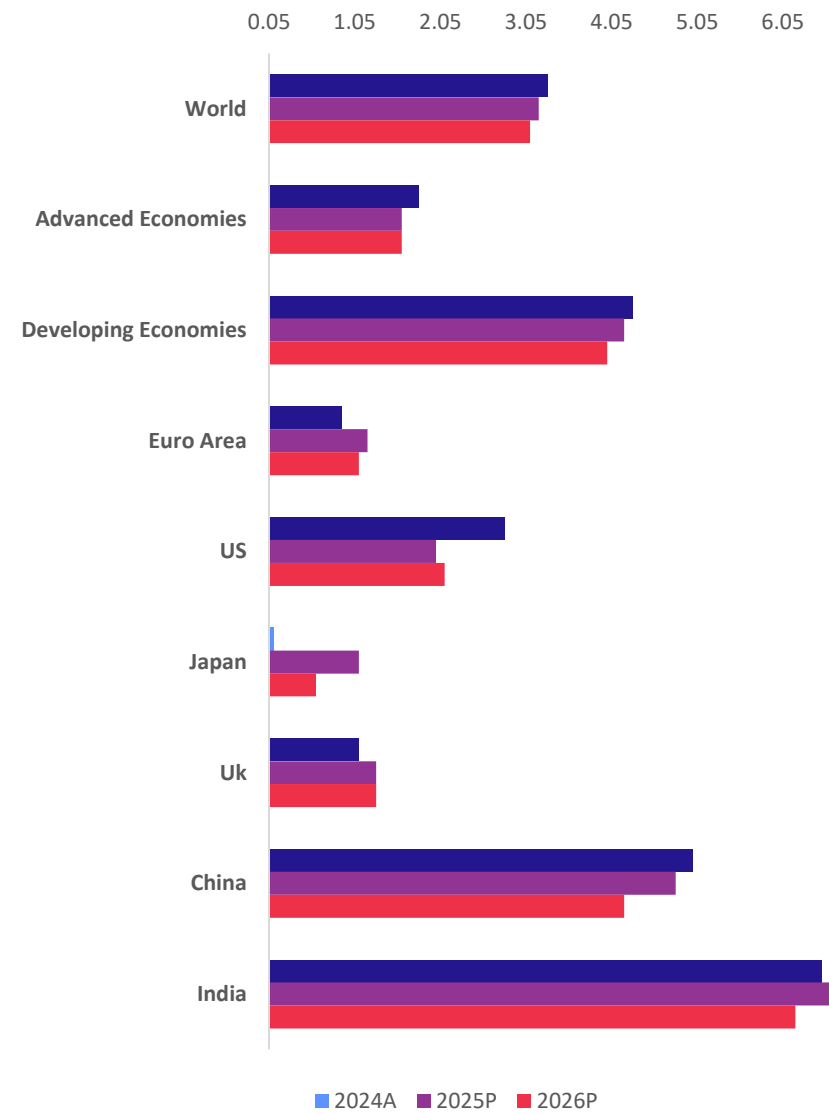
The global economy experienced a once-in-a-century disruption due to the COVID-19 pandemic, resulting in a sharp contraction followed by a gradual recovery across most economies. The post-pandemic period (CY2022–CY2025) remained volatile, driven by the Russia–Ukraine conflict, elevated energy and food prices, persistent inflationary pressures and tightening monetary policy across major central banks. In addition, increasing geopolitical fragmentation, including U.S.–China trade tensions and tariffs, has contributed to supply chain realignments and cost pressures. China continues to hold a dominant position in the processing and refining of several critical minerals essential for modern technologies, adding further strategic uncertainty to global trade dynamics.

The global growth remained resilient but moderate. Developed economies expanded at approximately 1.8% in CY2025 compared with 1.6% in CY2024, while emerging and developing economies maintained stronger growth of about 4.4% versus 4.3% in CY2024. Overall, the global economy grew around 3.3% in CY2025, broadly in line with the previous year.

Global growth is projected at 3.3% for CY2026 and 3.2% for 2027, revised slightly higher than predicted earlier. Global headline inflation is expected to decline from an estimated 4.1% in CY2025 to 3.8% in CY2026 and further to 3.4% in CY2027. The inflation projections are also broadly unchanged from those in October. Technology investment, fiscal and monetary support, accommodative financial conditions, and private sector adaptability offset trade policy shifts.

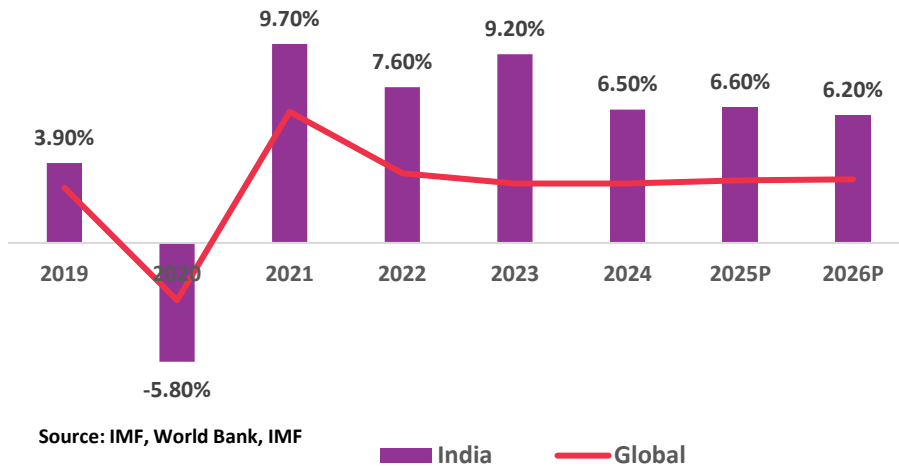
Risks to the outlook remain tilted to the downside. Reevaluation of productivity growth expectations about AI could lead to a decline in investment and trigger an abrupt financial market correction, spreading from AI-linked companies to other segments and eroding household wealth.

Global GDP Projections%

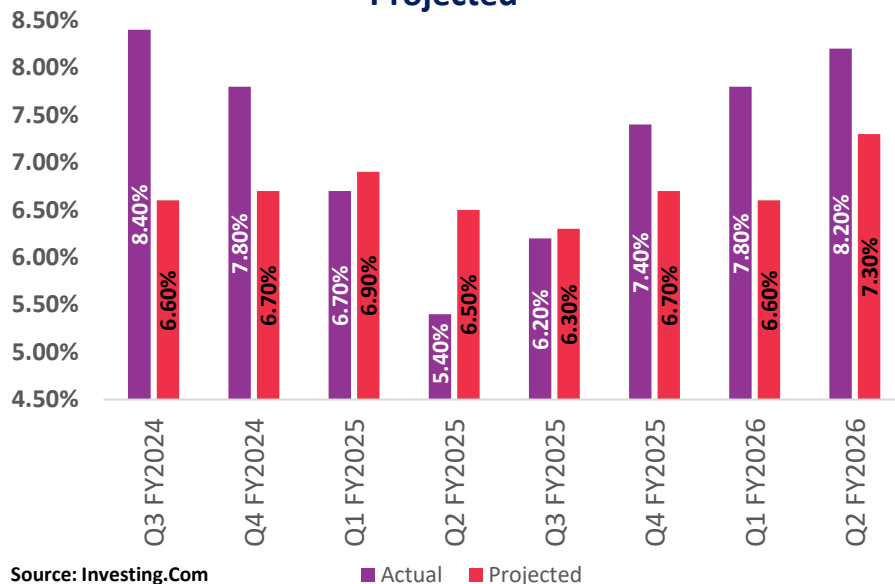


Indian Economy Overview

India vs Global GDP Growth%



Indian GDP Quarterly Growth -Actual vs Projected



Overview

The Indian economy grew at 6.5% in FY 2024-25, compared to a revised 9.2% in FY 2023-24. This represented a four-year low due to a moderate slowdown within the Indian economy, Despite the slowdown, India retained its position as the world's 5-largest economy.

India's growth remains robust, with real GDP growth for FY27 projected in the range of 6.8- 7.2%. Inflation fell to historic lows, averaging 1.7% in April-December 2025. This is due to that all the major sectors contributed to growth, with agriculture stabilizing rural demand, manufacturing gaining momentum, and services leading expansion and fuelled by strong domestic demand an a significant surge in government expenditure on Infrastructure and Social welfare, in the second half of the fiscal year. The momentum in private consumption is expected to sustain in 2026-27.

Rural demand remains steady, with improving agricultural activity and rural labour market conditions. Moreover, several measures announced in the Union Budget should also be conducive for growth. The recently concluded India-EU free trade agreement (FTA) and the prospective India-USA trade deal along with several other trade agreements will support exports over the medium-term. Services exports should remain resilient.

The New USA India Trade deal impose the reciprocal tariffs on Indian Goods from 25% which includes (major Indian export sectors including steel, automotive, and textiles) to 18% which gives the relief from the over extra burden from the Trade made in USA. This tariff have the potential to make the India Manufacture hub because of High tariff on China in elation to India. This leads to economic activity remains resilient. The First Advance Estimates suggest continuing growth momentum, driven by domestic factors amidst a challenging external environment. The growth outlook remains favourable.

Source: IMF WEO, Company Analysis, PIB, Equity Report

Global Specialty Chemical Industry

Overview

The global specialty chemicals market was valued at approximately **940.72 billion** in **2025** and is predicted to increase from **USD 978.79 billion** in **2026** to approximately **USD 1,377.32 billion** by **2035**, expanding at a **CAGR of 3.54% from 2026 to 2035**.

Asia Pacific dominated the specialty chemicals market with a market share of **49.60% in 2025** and is tracking a **4.58% CAGR through 2031**.

This growth is largely driven by China's chemical sector pivoting towards high-end intermediates and bolstered by India's incentive scheme, which champions domestic agrochemicals and polymers.

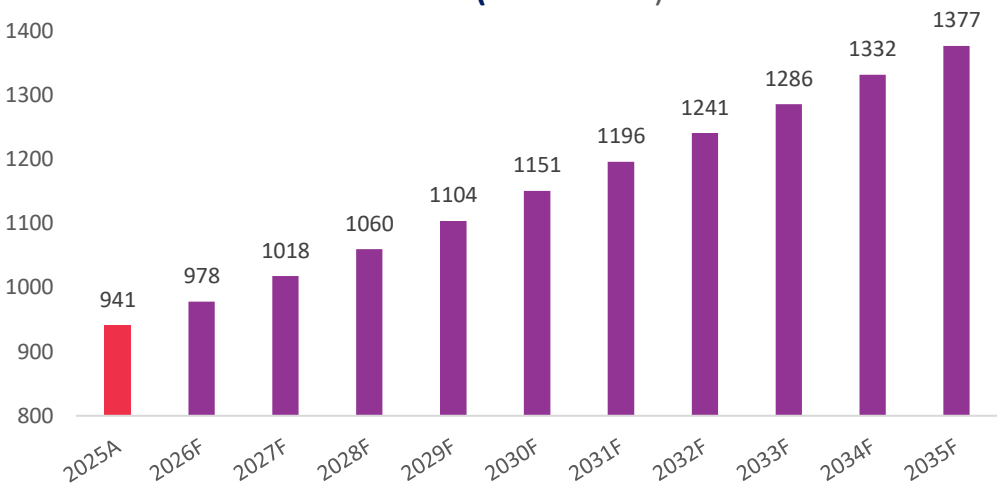
Moreover, the specialty chemical market size in the U.S. is projected to grow significantly, reaching an estimated value of USD 152.36 billion by 2032, driven by expanding demand for construction chemicals on account of an increase in investments in infrastructure projects as well.

Artificial Intelligence has become a pivotal enabler in the specialty chemicals industry, transforming research and development, manufacturing, and supply chain operations. AI-powered formulation tools accelerate the discovery of new compounds by analysing vast chemical datasets, enabling faster, more targeted innovation in coatings, adhesives, and specialty polymers.

This sector includes a diverse range of products such as agrochemicals, polymers & plastic additives, construction chemicals, electronic chemicals, cleaning chemicals, surfactants, lubricants & oilfield chemicals, specialty coatings, paper & textile chemicals, food additives, adhesives & sealants, and others.

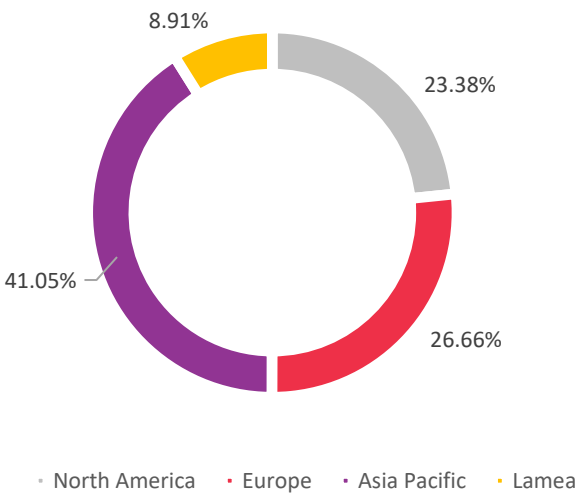
Source: Precedence Research, Company Analysis, FMI, Equity Report, Statista

Global Specialty Chemicals Market Size Forecasts(USD Billion)



Source: Precedence Research

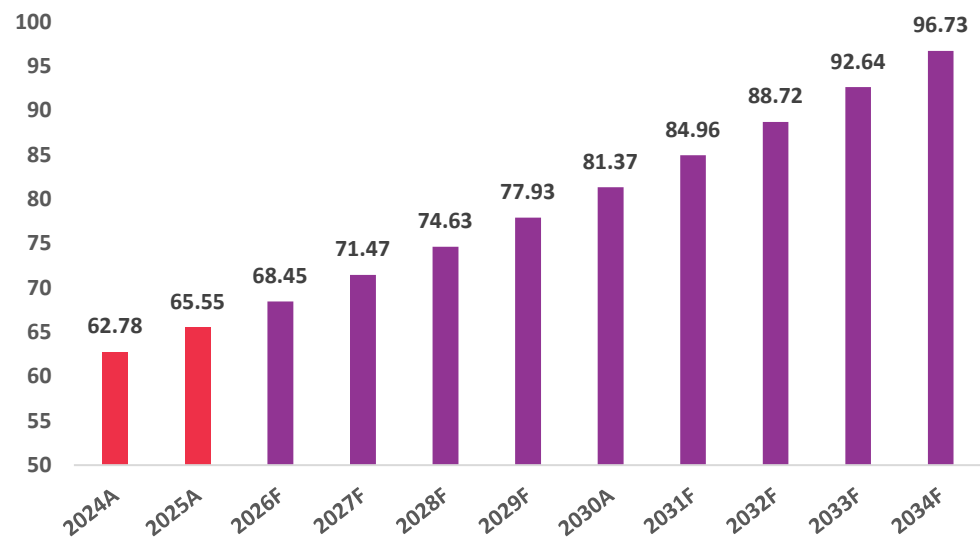
Market Share By Region 2025



Source: Precedence Research

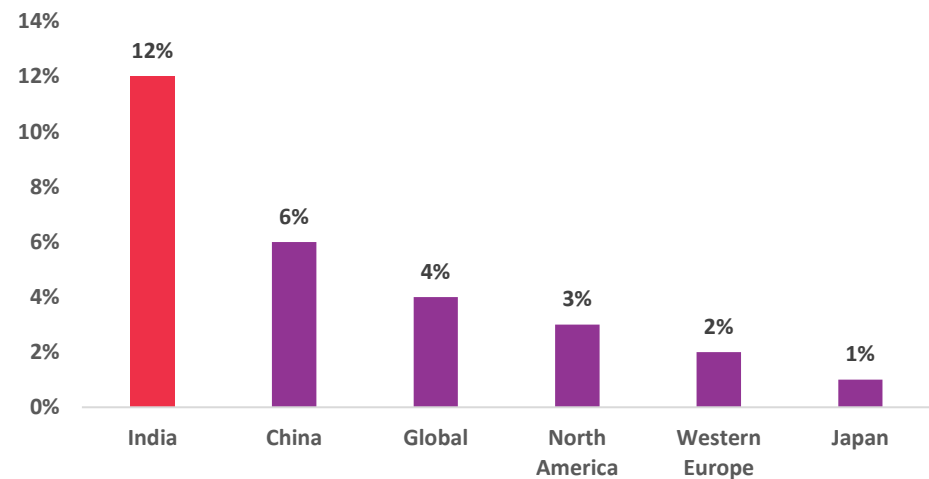
Indian Specialty Chemical Industry

Indian Specialty Chemicals Market Size
Forecasts(USD Billion)



Source: Cervicorn Consulting

Historical CAGR %



Source: Swarajya

Overview

India’s chemical industry is extremely diversified and can be broadly classified into bulk chemicals, specialty chemicals, agrochemicals, petrochemicals, polymers, fertilisers and covering more than 80,000 commercial products. India is the sixth largest producer of chemicals in the world and third in Asia, contributing 7% to India’s GDP. India's chemical sector, which was estimated to be worth around US\$ 250 billion in 2024, is anticipated to grow to US\$ 300 billion by 2028 and US\$ 1 trillion by 2040.

The India specialty chemicals market size was reached at USD 62.78 billion in 2024 and is expected to exceed around USD 96.73 billion by 2034, growing at a compound annual growth rate (CAGR) of 4.41% over the forecast period 2025 to 2034.

India’s specialty chemicals market has been experiencing rapid growth due to increasing industrialization, a strong manufacturing base, and favourable government policies. The rise of end-user industries like pharmaceuticals, agrochemicals, and personal care has fueled demand. The Indian government’s push for "Atmanirbhar Bharat" (self-reliant India) and incentives for domestic production have further strengthened the sector. Additionally, the global shift from China to India for chemical manufacturing, driven by environmental regulations and supply chain diversification, has contributed to India's growth.

The **Economic Survey 2025–26** notes that the chemical sector accounted for **8.1 percent** of manufacturing Gross Value Added in FY24, alongside a steady rise in output over **the past decade**. Production of major chemicals and petrochemicals increased from **45,638 thousand metric tonnes** in FY16 to **58,617 thousand metric tonnes** in FY25, translating into a CAGR of **2.8 percent**

Source: Ibef- Chemicals & Petrochemicals Report, Cervicorn Consulting

Epigral Ltd – Growth Story

Capex: The Long term Effects

The Epigral Ltd has posted their revenue growth at a CAGR of at a CAGR of 5.2% and 25.2% during the last 3 and 5 Years respectively. This will continue over the future as well due to factors such as Urbanization, Low Per-Capita Consumption, Growing consumption in FMCG, Textile, Electronics, Automobiles, Make in India, Agrochemicals, Additives for Paints, coatings, Resin and etc. For this growth company has provide a plan of future Capex to change their from commodity chemical to Derivative and Specialty which helps them to maintained double digit growth and recent capex conducted by the company to streamline the new product such as (**Chlorotoluene's Value Chain**) and completely different" value chain and chemistry from the current Chlor-Alkali model in their new greenfield project which leads the future growth as well.

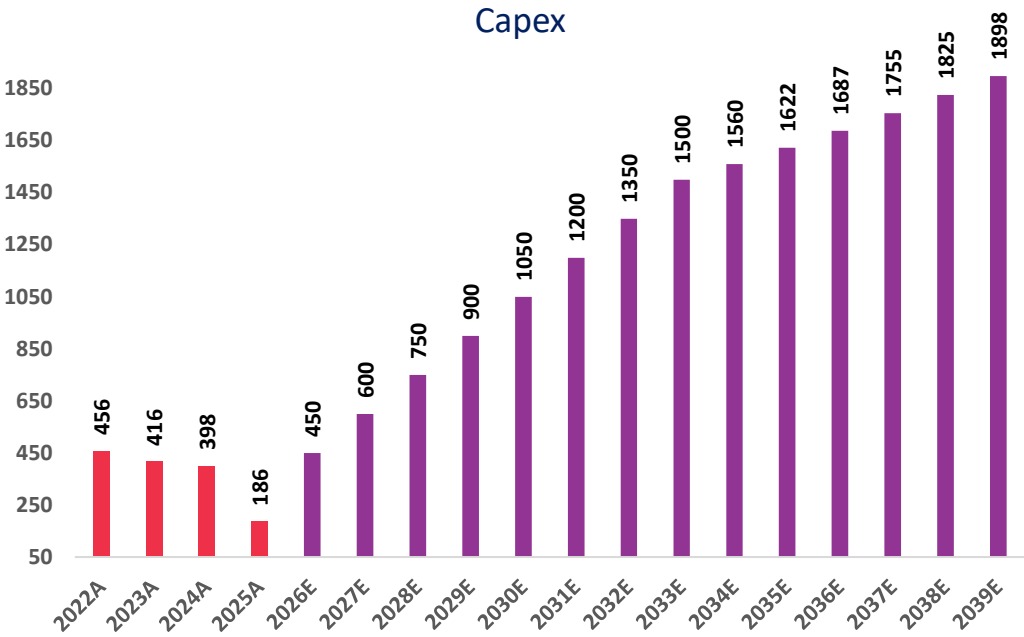
Transformation Cycle

The Epigral is started has commodity chemical company but from the FY2022 it starting its pivot from Commodity chemicals to Speciality and derivatives chemicals which helps to developed the new earning path for the company which leads to increase its Gross Margin over a period of time walking through the future.

They increase the Capacity from the past and align with the Economy growth and Epigral's capacity increases are specifically "cherry-picked" to align with high-growth sectors of the Indian economy and the "Make in India" initiative

CPVC Resin expanding to 150,000 TPA (world's largest single-location facility), Epichlorohydrin (ECH): Doubling capacity to 100,000 TPA, **Chlorotoluene's** first in India to establish this value chain,

Capex



Demographic dividend

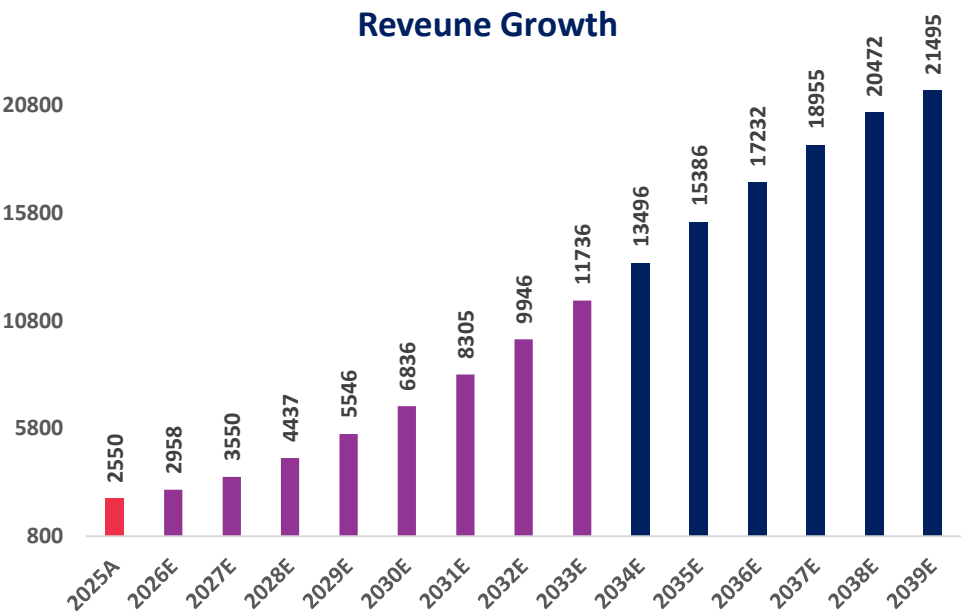
In 2025, the median age of India's population stands at approximately 28.8 years, compared to the global median of 30.5 years. With a predominantly young workforce, India has a competitive advantage in productivity and consumption, which is expected to drive sustained demand for chemicals in industries like manufacturing, electronics, and automotive.

Plus One' strategy

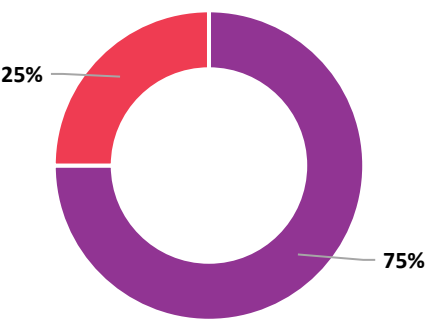
FY 2024-25, India's specialty chemicals sector continues to grow robustly, driven by strong domestic demand and increasing export opportunities. The China-plus-one strategy adopted by global economies has accelerated this growth, encouraging manufacturers to expand operations in India. Sales are projected to grow by over 20%. Plant closures in Europe strengthened India's position as companies seek alternative suppliers under a Europe-plus one scenario.

Financials

Reveune Growth



Product Wise Revenue



■ Derivatives & Specialty Products ■ Basic Chlor-Alkali (Commodity chemicals)

Revenue

The company has posted revenue of INR 2550 Crores in FY2025. The revenue has been grown at a CAGR of 5.2% and 25.2% during the last 3 and 5 Years respectively. The management is extremely positive on overall growth of Indian Speciality Chemical market due to factors such as Urbanization, Low Per-Capita Consumption, Growing consumption in FMCG, Textile, Electronics, Automobiles, Make in India, Agrochemicals, Additives for Paints, coatings, Resin and etc. In Chemical Sector mainly faces the constraints in their sales but the Epigral has done the significant capex (increase the Capacity PMT of their diversified portfolio) during the past 3 and 4 years to remain in the competition and betting on these product mix for next leg of growth. The company has given guidance of 15% to 20%.

The Analyst's consensus growth for FY2026 is INR 31030 crores which is 21.68% growth over the FY2025 revenues of 2550.2 crores.

Considering the challenges company might face such as Market and pricing volatility(Aggressive Chinese pressure, Destocking), Customer approver cycle usually is bit longer than other sectors, Supply chain disruption (Red Sea crisis and the Ukraine-Russia), Trade uncertainties, Government policies, Increase in competitions and Raw material Fluctuation's etc.

We assume the company would maintain double-digit growth of with an Average of 20% up to 2033 and then after it degrow with average 10% to 12% after 2033 due to increase in their increasing competition. The company revenue is came from most of the derivative products and recent capex conducted by the company to streamline the new product such as (Chlorotoluene's Value Chain) and completely different" value chain and chemistry from the current Chlor-Alkali model in their new greenfield project which leads the future growth as well.

Financials

Gross Margins

During FY2025, gross margins were Increase by 210 bps to 47% primarily due to improvement in Price mix, Favorable product mix, Energy Cost Optimization (wind-solar hybrid power plant) etc. as explained by the management. The raw material constitutes of $\approx 95\%$ + of the total Cost of Goods Sold and $\approx 54\%$ of the revenues.

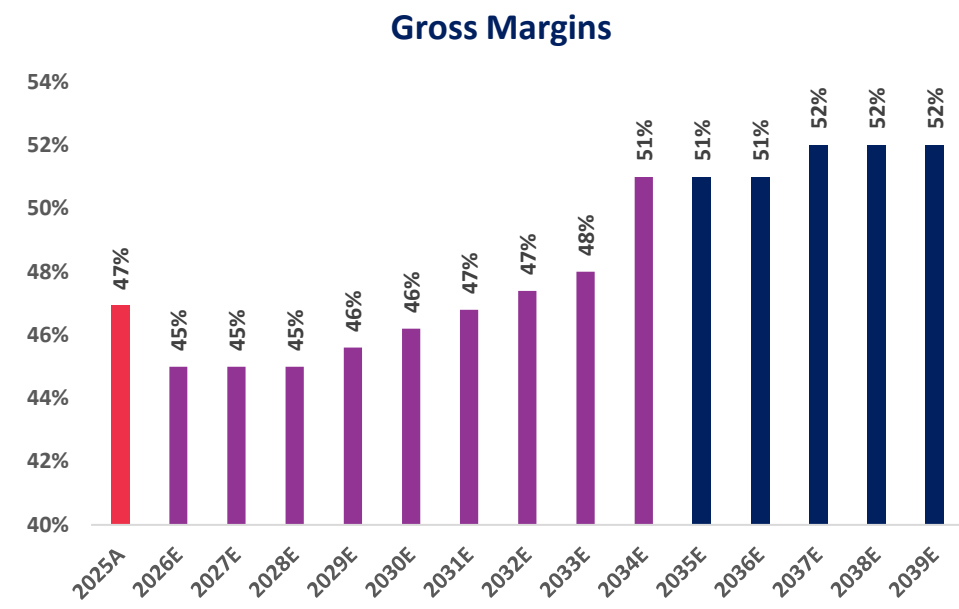
The cost of Raw material primarily driven by its chlor-alkali operations, as chlor-alkali forms the base chemistry for most of its downstream products. In addition, a substantial part of the chlor-alkali output—particularly chlorine and caustic soda—is captively consumed for the production of higher-value derivatives such as CPVC, Epichlorohydrin, and chlorotoluene's. Going forward, although the absolute cost base remains anchored to chlor-alkali economics, the rising contribution from derivatives is expected to improve blended margins due to better realizations and value addition.

While historically, the company has posted gross margin $\approx 47\%$ -55% with median of 49% in the last 5 Years.

The Company's integration – locational and portfolio – makes it possible to widen the value chain, maximize revenues from basic raw material, moderate logistic costs and strengthen working capital efficiency.

Basis our research the gross margin posted by Speciality Chemical sector was 34.42%, by the sector in global emerging market was 23.05% and global sector margin was 30.24%.

The increase in the margin during FY2025 was due to increase in Mix of Derivatives products, we assume that margin will retract to $\approx 45\%$ to $\approx 47\%$ in short run because of increase in the raw materials for making the derivatives products and in long run around $\sim 50\%$ to $\approx 52\%$ this is due to the company become an efficient in making the products.



This competitive head start was thereafter supplemented by the manufacture of products that were import substitutes, ability to market products with speed, enhance capacity utilisation and generate superior economies, in-sell within the Company (end product becoming the raw material for another business), manufacturing all products within an integrated manufacturing facility that made it possible to moderate logistics and carbon footprint costs and commission shared facilities that could feed a range of downstream units.

For this company is more focused in the capex of 670 Cr in the five years ending FY 2024-25. We intend to invest 800 Cr in the next two years ending FY 2026-27. Each capital spending round has been accompanied by guardrails: raw material availability from within, import substitution product and a readily available market leading to a high EBITDA margins.

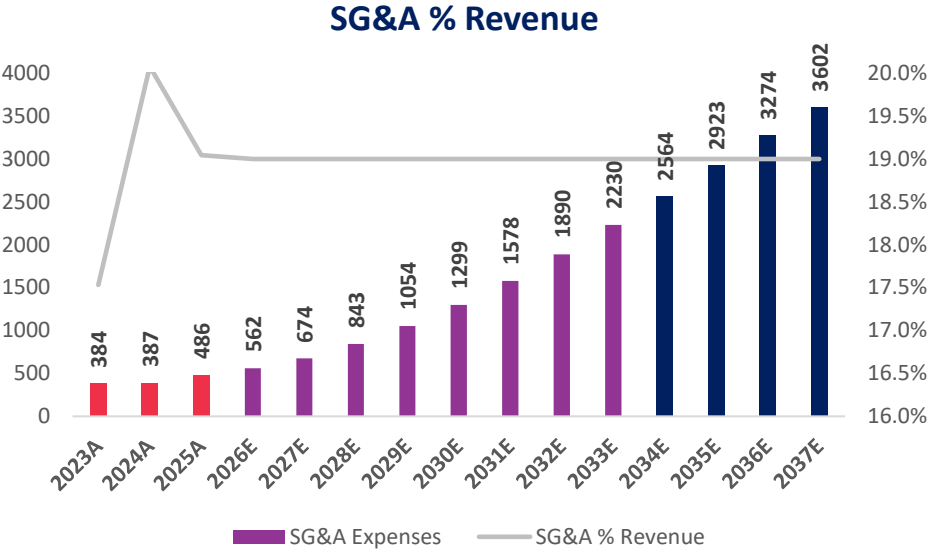
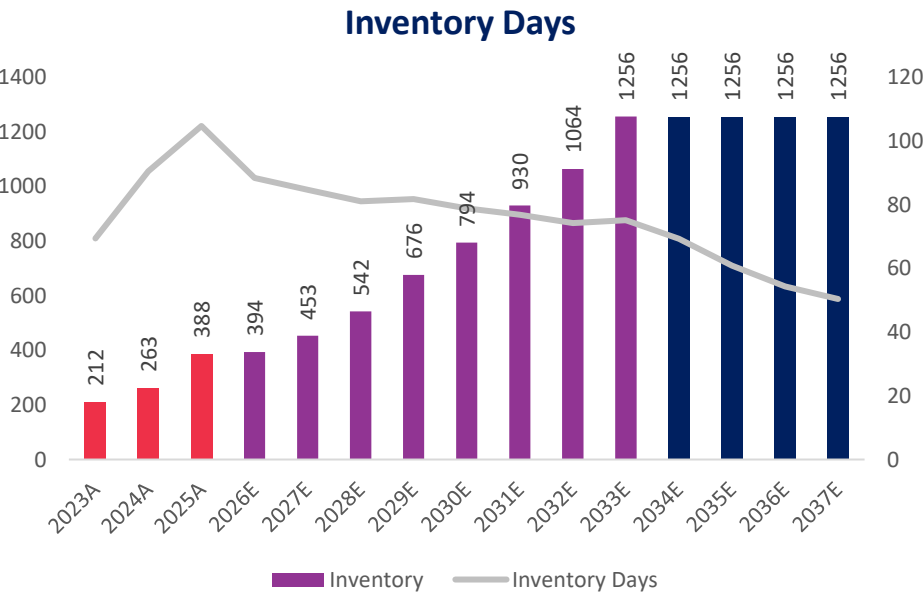
Financials

SG&A Expenses

During FY2025, the company has reported EBITDA margin 27.9% which is 290 bps Higher than FY2024. The reason for increase in EBITDA margin higher capacity utilization (81%) and an improved product mix with Derivatives & Specialty chemicals . The Management is determined to keep the operating expenses in check and gave EBITDA guidance of ≈25% to ≈28%.

Basis our research, we have identified that historically SG&A expenses is 19% of revenue. Where three expenses viz Salary, Wages & Bonus, Power & Fuel, Other Operating Expenses Constitute 78.8% of total SG&A expenses. This Three Key Expenses are directly linked with sales.

We assumed, Total SG&A expenses to remain at 19% level as percentage of revenue which is almost align with Street Estimate and Management Guidance.



Inventory

The Company increase inventory as its main strategy is to transform the revenue from Chlor-Alkali to the speciality derivatives products which shows the high margins in comparison to the Chlor-Alkali. The management uses the chlor-alkali as building block or captive uses to produce the product and due to transformation this the inventory level is also increase.

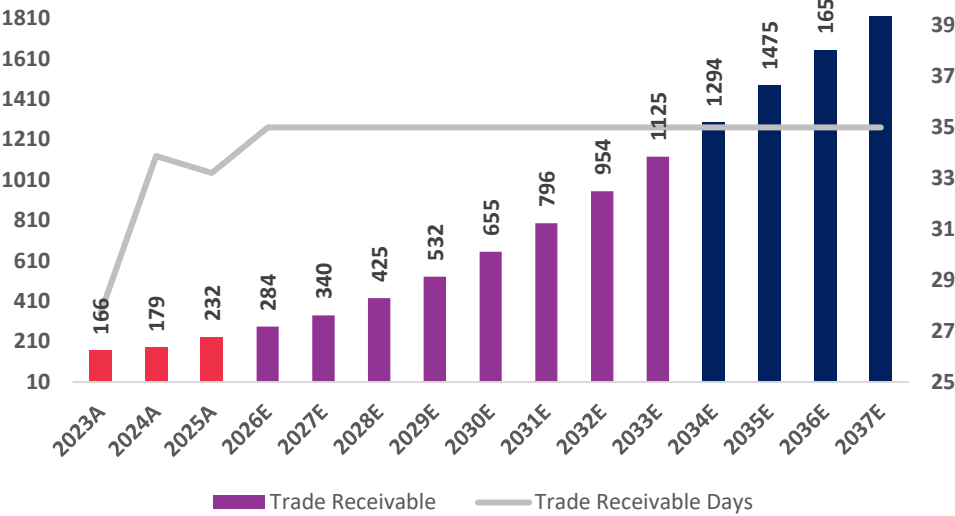
Historically, the company is maintaining the inventory Levels ≈10% of Revenues. With inventory turnover ratio is being consistent ≈10.5% and inventory days 38.

The peers company in the market maintains inventory of ≈53 Days which is higher than the 5 yearly historical inventory days of the company.

We assume our inventory levels to go up by 8 days from 47 days to 56 days from the FY2025-26 because the company projected the new products which leads to increase the inventory days and later it normalize to the peers Average of ≈47 - 49 days.

Financials

Trade Receivable



Trade Payable

Company has maintained consistent payables of ~ 50-52 Days and decrease in 2023 to 2024 due to faster payment cycle, However it normalized in the FY 2025 to 50 Days.

The trade Payable is consistently ~14% of COGS and ~7% of Revenue.

The Peer Company in the market maintains payable of ~35 Days which is lower than the 5 Yearly historical payable days of the company.

In the absence of Management Guidance and basis our research, we assume the payables days remains to flat at 50 Days.

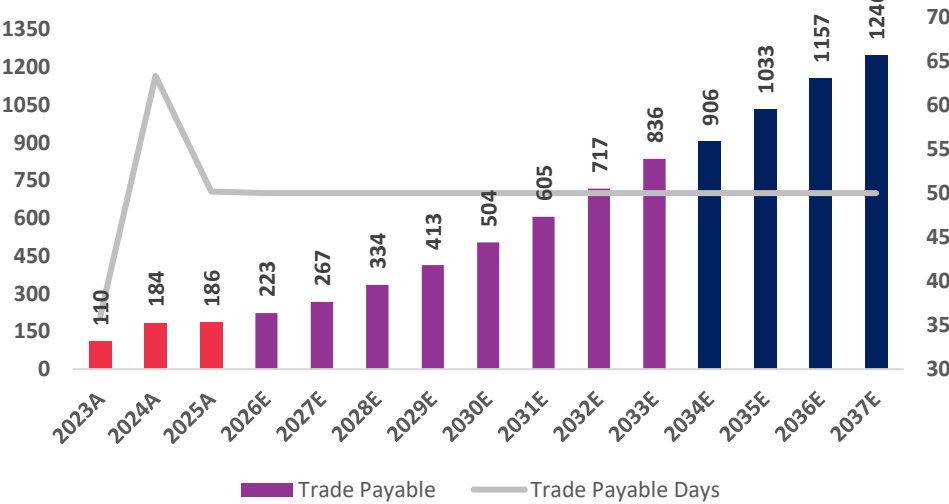
Trade Receivable

The Company has show that there Receivable Days is in decreasing trend due to there significant validation of their strategic shift toward high-value derivatives. The company has robust collection mechanism due to which receivables level were normalize by the end of year. Further, only 24% of receivable were due for the 6 months and the company is not exposed to any significant risk because they are already headge with the banks. The company has policy to deal with the creditworthy counterparties. We don't see any impairment by the company near future.

Historically, the company is maintaining the Receivable Levels ~9% of Revenues. With median Receivable turnover ratio is being consistent ~11% and Receivable days 34. The peer's company in the market maintains Receivable of ~21 Days which is lower than the 5 yearly historical inventory days of the company.

We foresee receivables levels to be flat 35 Days.

Trade Payable



Valuation

Objective

The objective is to reach the intrinsic value of Epigral Ltd stock. The Analysis aims to assess the company's worth basis its ability to generate cash flow, future growth and risk associated with the business. We have carefully considered management's guidance while performing this analysis.

Valuation Method

There are primarily three approaches in Valuation (viz, Cost Approach, Market Approach and Income Approach).

For any valuation, all this three approaches may not be relevant and therefore will not give a fair estimate of value. Hence, the approach most suitable for specific business/company must be applied in the valuation exercise based on the common practices.

The three approaches generally adopted in valuation are as under :

- Market Approach: Comparable Companies Method and Comparable Transaction Method.
- Income Approach: Discounted Cash Flow Method.
- Assets Approaches: Net Assets Value Method.

Market Approach

Under this approach, we measure the value of business of the company by applying the market multiples of listed companies which trade actively and possess attributes similar and comparable with the target company. This methodology is based on the principle that such market valuation taking place between informed buyer and informed sellers while taking into account all the relevant factors.

Not all the multiples are applicable in every company, Therefore the relevant multiple should be chosen carefully and adjusted for difference between the comparable. For the purpose of valuation of Epigral Ltd we have chosen EV/EBITDA multiple.

Income Approach

Under, This approach the value of the business is derived basis difference between the value of Assets and Liabilities. The approach focuses on determining the value of the net assets. From the perspective of the equity valuation. The value of net assets can be determined as Follows:

Net Assets : Total Assets – Total Liabilities.

The value of net assets is also known as Total Equity.

Assets Approach

Under, This approach the value of the business is derived by considering the Free cash flow, Future growth and Weight Average cost of capital which signifies risk.

There are major four steps in this Approach:

- Forecasting the future cash flow for explicit growth period.
- Discounting these cash flow to present value at the rate of return which despite the risk in realizing the future cash flows and expected growth.
- Calculated the terminal value of free cash flow post explicit growth period.
- Addition of present value of terminal cash flow and free cash flow during explicit forecast period.

DCF Valuation

In INR Crores Other wise Stated

		Actual	Explicite Forecast Period								Terminal Value					
In INR Crores Other wise Stated		FY2025	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031	FY2032	FY2033	FY2034	FY2035	FY2036	FY2037	FY2038	FY2039
Free Cash Flow to Firm																
EBITDA		₹ 711	₹ 769	₹ 923	₹ 1,154	₹ 1,475	₹ 1,859	₹ 2,309	₹ 2,825	₹ 3,403	₹ 4,319	₹ 4,923	₹ 5,514	₹ 6,255	₹ 6,756	₹ 7,093
Less: Depreciation		(₹ 129)	(₹ 161)	(₹ 204)	(₹ 258)	(₹ 322)	(₹ 397)	(₹ 483)	(₹ 579)	(₹ 686)	(₹ 798)	(₹ 914)	(₹ 1,034)	(₹ 1,160)	(₹ 1,290)	(₹ 1,426)
Less: Amortization		(₹ 3)	(₹ 3)	(₹ 3)	(₹ 3)	(₹ 3)	(₹ 3)	(₹ 3)	-	-	-	-	-	-	-	-
EBIT		₹ 579	₹ 604	₹ 715	₹ 892	₹ 1,150	₹ 1,459	₹ 1,823	₹ 2,245	₹ 2,717	₹ 3,521	₹ 4,010	₹ 4,480	₹ 5,096	₹ 5,466	₹ 5,668
Less: Tax		(₹ 183)	(₹ 146)	(₹ 174)	(₹ 219)	(₹ 285)	(₹ 364)	(₹ 457)	(₹ 566)	(₹ 686)	(₹ 892)	(₹ 1,020)	(₹ 1,142)	(₹ 1,301)	(₹ 1,397)	(₹ 1,450)
EBIT (1-T)		₹ 396	₹ 458	₹ 541	₹ 673	₹ 865	₹ 1,095	₹ 1,366	₹ 1,680	₹ 2,030	₹ 2,629	₹ 2,990	₹ 3,338	₹ 3,795	₹ 4,069	₹ 4,218
Add: Depreciation		₹ 129	₹ 161	₹ 204	₹ 258	₹ 322	₹ 397	₹ 483	₹ 579	₹ 686	₹ 798	₹ 914	₹ 1,034	₹ 1,160	₹ 1,290	₹ 1,426
Add: Amortization		₹ 3	₹ 3	₹ 3	₹ 3	₹ 3	₹ 3	₹ 3	-	-	-	-	-	-	-	-
Cash NOPAT		₹ 528	₹ 623	₹ 749	₹ 934	₹ 1,190	₹ 1,495	₹ 1,852	₹ 2,259	₹ 2,717	₹ 3,427	₹ 3,904	₹ 4,372	₹ 4,955	₹ 5,359	₹ 5,643
Less: Reinvestments																
Change in Working capital		(₹ 167)	(₹ 37)	(₹ 101)	(₹ 152)	(₹ 217)	(₹ 216)	(₹ 249)	(₹ 262)	(₹ 333)	(₹ 187)	(₹ 149)	(₹ 145)	(₹ 162)	(₹ 122)	(₹ 82)
Capex During the Year		(₹ 186)	(₹ 450)	(₹ 600)	(₹ 750)	(₹ 900)	(₹ 1,050)	(₹ 1,200)	(₹ 1,350)	(₹ 1,500)	(₹ 1,560)	(₹ 1,622)	(₹ 1,687)	(₹ 1,755)	(₹ 1,825)	(₹ 1,898)
Free Cash Flow to Firm		₹ 175	₹ 136	₹ 48	₹ 32	₹ 74	₹ 230	₹ 403	₹ 647	₹ 884	₹ 1,680	₹ 2,133	₹ 2,540	₹ 3,038	₹ 3,412	₹ 3,663
Discount Period (Years)	Mid Year ?	Yes	0.5	1.5	2.5	3.5	4.5	5.5	6.5	7.5	8.5	9.5	10.5	11.5	12.5	13.5
Discounting Rate (WACC)		21%														
Present Value Factor			0.909	0.751	0.621	0.513	0.424	0.350	0.290	0.239	0.198	0.164	0.135	0.112	0.092	0.076
Present Value of Free Cash Flow to Firm			₹ 124	₹ 36	₹ 20	₹ 38	₹ 97	₹ 141	₹ 187	₹ 212	₹ 332	₹ 349	₹ 343	₹ 339	₹ 315	₹ 279

DCF Calculation - Perpetuity Growth		DCF Calculation - Exit Multiple	
Perpetual Growth Rate	4.54%	Exit Multiple	11.6x
Terminal Year FCFF x (1+PGR)	₹ 3,830	Terminal Year EBITDA	₹ 7,093
Terminal Value	₹ 23,265	Termial Value	₹ 82,285
Present Value of Terminal Value	₹ 1,775	Present Value of Terminal Value	₹ 6,276
Present Value of FCFF's	₹ 2,813	Present Value of FCFF	₹ 2,813
Enterprise Value	₹ 4,588	Enterprise Value	₹ 9,090
Implied Exit Multiple	0.6x	Implied Exit Multiple	1.3x
Implied Ev/EBITDA	6.4x	Implied EV/EBITDA	12.8x
Less: Debt	(₹ 499)	Less: Debt	(₹ 499)
Add: Cash	₹ 22	Add: Cash	₹ 22
Less: Minority Interest	₹ 0	Less: Minority Interest	₹ 0
Add: Non Operating Assets	₹ 76	Add: Non Operating Assets	₹ 76
Equity Value	₹ 4,187	Equity Value	₹ 8,689
Less: Equity Options	₹ 0	Less: Equity Options	₹ 0
Equity Value for Shareholders	₹ 4,187	Equity Value for Shareholders	₹ 8,689

Market Cap
INR. 3,743 Cr

Intrinsic Value
INR. 4187 Cr

WACC
21%

Terminal Growth
4.54%

		Wacc				
		17%	18.00%	19.00%	20.00%	21.00%
Terminal Growth	3%	₹ 6,682	₹ 5,841	₹ 5,132	₹ 4,528	₹ 4,011
	4%	₹ 6,964	₹ 6,062	₹ 5,305	₹ 4,666	₹ 4,122
	5%	₹ 7,294	₹ 6,316	₹ 5,504	₹ 4,822	₹ 4,246
	6%	₹ 7,684	₹ 6,612	₹ 5,732	₹ 5,001	₹ 4,387
	7%	₹ 8,152	₹ 6,963	₹ 5,999	₹ 5,207	₹ 4,548
	8%	₹ 8,724	₹ 7,384	₹ 6,315	₹ 5,448	₹ 4,734
	9%	₹ 9,439	₹ 7,898	₹ 6,693	₹ 5,732	₹ 4,950
		Wacc				
		17%	18.00%	19.00%	20.00%	21.00%
Terminal Growth	9x	₹ 11,111	₹ 9,983	₹ 8,978	₹ 8,082	₹ 7,282
	10x	₹ 11,963	₹ 10,742	₹ 9,655	₹ 8,687	₹ 7,823
	11x	₹ 12,815	₹ 11,501	₹ 10,333	₹ 9,292	₹ 8,364
	12x	₹ 13,667	₹ 12,261	₹ 11,010	₹ 9,897	₹ 8,905
	13x	₹ 14,519	₹ 13,020	₹ 11,688	₹ 10,502	₹ 9,446
	14x	₹ 15,371	₹ 13,779	₹ 12,366	₹ 11,108	₹ 9,987
	15x	₹ 16,222	₹ 14,539	₹ 13,043	₹ 11,713	₹ 10,528

WACC – Weighted Average Cost of Capital

Particulars	Low	Mid	High
Risk Free Rate	4.54%	4.54%	4.54%
Equity Risk Premium	6.34%	6.34%	6.34%
Asset Beta	0.87	1.02	1.17
D/E Ratio	26%	26%	26%
Equity Beta	1.10	1.27	1.45
CAPM Cost of Equity	11.50%	12.58%	13.76%
Small Size Premium	12.22%	12.22%	12.22%
Asset Specific Premium	0.00%	0.00%	0.00%
Modified Cost of Equity	23.72%	24.80%	25.98%
Pre Tax Cost of Debt	7.10%	7.10%	7.10%
Marginal Tax Rate	25.17%	25.17%	25.17%
Post Tax Cost of Debt	5.31%	5.31%	5.31%
Capital Gearing (D/D+E)	20.77%	20.77%	20.77%
Weighted Average Cost of Capital	19.90%	20.75%	21.69%
Weighted Average Cost of Capital (Rounded)	20.00%	21.00%	22.00%

- Notes :**
1. Tax Rate considered as Marginal Tax Rate of India
 2. Asset Beta is considered as Median of 5 Years beta of comps adjusted for Blume effect.
 3. Equity Beta = Asset Beta * (1+(1-Tax Rate) * Debt / Equity)

Risk Free Rate

We have considered 4.54% as the risk-free rate in estimation of cost of equity of 12.58%.The risk-free rate of India is calculated by considering local currency 10 years government bond yield adjusted for default spread of India.

Small Size Premium

Empirically small size assets premium have expected the return as compared to large sized assets. We have used the study on size premium conducted by incwert which is based on difference between actual return and CAPM expected returns arranged in decile basis market capitalization of Indian Companies.

Wacc Inputs	
Country	India
Local Currency 10Y Government Bond	6.70%
India's Moody's Sovereign Rating	Baa3
Credit default spread as per Dr Damodaran	2.16%
Implied US Equity Risk Premium	4.18%
Asset Beta	1.02
Asset Beta Variation (+/-)	0.15
Debt to Equity Ratio	26%
Debt to Capital (Gearing)	21%
Marginal Tax Rate	25.17%
Company Credit Rating Available	No
Company is Small or Large Firm ?	L
Provide Credit Rating	A1/A+
Interest Coverage Ratio	10.92
ICR Based Corporate Default Spread	0.40%
Small Size Premium	12.22%
Assets Specific Risk Premium	0.00%

Equity Risk Premium

An ERP of 6.34% has been adopted as on US implied Erp, relative equity volatility of ICE BoFA Public Sector Issues Emerging Mkts Index, S&P emerging BMI Index and country risk premium of India.

Cost of Debt

For the purpose of assessing the cost of debt, we have used country's risk-free rate, country default rate and corporate default spread rate based on company's debt rating and interest coverage ration.

Asset Beta

We have estimated an asset beta range of 0.87 to 1.17 with the mid point of 1.02 based on observed median of 5-year monthly asset beta of benchmark listed companies for Blume effect .

Beta Analysis

Comparables Company	Ticker	No. of Weekly Observations	Market Cap	Asset Beta	5 Years Avg D/E	Equity Beta	5 Years avg D/(D+E)	Considered?	Narrow set
Gujarat Alkalies & Chemicals Ltd (GAKL)	GAKL	60	3,259	1.22	7.8%	1.29	7.1%	Yes	True
Gujarat Narmada Valley Fertilizers & Chemicals Ltd (GNFC)	GNFC	60	6,955	1.15	0.3%	1.15	0.3%	Yes	True
Grasim Industries Ltd	GRASIM	60	1,89,015	0.52	139.2%	1.07	57.5%	No	False
Chemplast Sanmar Ltd	CHEMPLASTS	60	4,032	0.70	57.3%	1.00	56.8%	Yes	True
SRF	SRF	60	83,021	0.71	43.6%	0.94	30.3%	No	False
TGV SRACC LTD	TGV SRACC	60	921	0.59	45.2%	0.78	29.5%	No	False
Primo Chemicals	PRIMO	60	476	0.45	29.5%	0.55	21.4%	No	False
Deepak Nitrite	DEEPAKNITRITE	60	22,162	1.19	13.2%	1.31	11.0%	No	False
Median - Broad Set				0.70	36.6%	1.03	25.4%		
Average - Broad Set				0.81	42.0%	1.01	26.7%		
Median - Considered Set				1.15	7.8%	1.149	7.1%		
Average - Considered Set				1.02	21.8%	1.148	21.4%		

We are taking 1.02 as Asset beta of Chemicals Units

Calculations

Peers Calculations	2 Years Weekly Equity Beta	2 Years Avg D/E	2 Years avg D/(D+E)	2 Yearly Asset Beta	5 Years Monthly Equity Beta	5 Years Avg D/E	5 Years avg D/(D+E)	5 Yearly Asset Beta
Gujarat Alkalies & Chemicals Ltd (GAKL)	1.16	4.9%	4.5%	1.119	1.52	7.8%	7.1%	1.437
Gujarat Narmada Valley Fertilizers & Chemicals Ltd (GNFC)	1.31	0.6%	0.6%	1.305	1.29	0.3%	0.3%	1.291
Grasim Industries Ltd	1.21	172.9%	63.2%	0.527	1.16	139.2%	57.5%	0.569
Chemplast Sanmar Ltd	1.20	90.0%	47.4%	0.718	1.06	57.3%	56.8%	0.742
SRF	0.80	40.6%	28.9%	0.614	0.96	43.6%	30.3%	0.722
TGV SRACC LTD	1.34	29.8%	23.0%	1.095	0.72	45.2%	29.5%	0.535
Primo Chemicals	0.72	44.7%	30.9%	0.537	0.34	29.5%	21.4%	0.280
Deepak Nitrite	1.04	14.7%	12.3%	0.936	1.54	13.2%	11.0%	1.406

Ratio Analysis

In INR Crores Other wise Stated

	Actual					Explicite Forecast Period								Terminal Value					
	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031	FY2032	FY2033	FY2034	FY2035	FY2036	FY2037	FY2038	FY2039
Liquidity Ratios	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036	2037	2038	2039
Current Assets	₹ 182	₹ 447	₹ 419	₹ 501	₹ 774	₹ 951	₹ 1,101	₹ 1,293	₹ 1,575	₹ 1,927	₹ 2,434	₹ 3,015	₹ 3,773	₹ 4,554	₹ 5,384	₹ 6,129	₹ 7,104	₹ 8,276	₹ 9,532
Current Liabilities	₹ 389	₹ 533	₹ 646	₹ 778	₹ 492	₹ 538	₹ 595	₹ 679	₹ 781	₹ 863	₹ 986	₹ 1,072	₹ 1,210	₹ 1,162	₹ 1,289	₹ 1,413	₹ 1,503	₹ 1,602	₹ 1,670
Current Ratio	46.7%	84.0%	64.9%	64.4%	157.1%	176.7%	185.1%	190.3%	201.8%	223.3%	246.8%	281.2%	311.9%	391.8%	417.6%	433.8%	472.7%	516.5%	570.8%
Current Assets	₹ 182	₹ 447	₹ 419	₹ 501	₹ 774	₹ 951	₹ 1,101	₹ 1,293	₹ 1,575	₹ 1,927	₹ 2,434	₹ 3,015	₹ 3,773	₹ 4,554	₹ 5,384	₹ 6,129	₹ 7,104	₹ 8,276	₹ 9,532
Inventory	₹ 54	₹ 154	₹ 212	₹ 263	₹ 388	₹ 394	₹ 453	₹ 542	₹ 676	₹ 794	₹ 930	₹ 1,064	₹ 1,256	₹ 1,256	₹ 1,256	₹ 1,256	₹ 1,256	₹ 1,256	₹ 1,256
Current Liabilities	₹ 389	₹ 533	₹ 646	₹ 778	₹ 492	₹ 538	₹ 595	₹ 679	₹ 781	₹ 863	₹ 986	₹ 1,072	₹ 1,210	₹ 1,162	₹ 1,289	₹ 1,413	₹ 1,503	₹ 1,602	₹ 1,670
Quick Ratio / Acid Test Ratio	0.33x	0.55x	0.32x	0.31x	0.78x	1.04x	1.09x	1.11x	1.15x	1.31x	1.53x	1.82x	2.08x	2.84x	3.20x	3.45x	3.89x	4.38x	4.96x
Inventory Days	51 Days	74 Days	69 Days	90 Days	105 Days	88 Days	85 Days	81 Days	82 Days	79 Days	77 Days	74 Days	75 Days	69 Days	61 Days	54 Days	50 Days	47 Days	44 Days
Debtors Days	52 Days	60 Days	28 Days	34 Days	33 Days	35 Days	35 Days	35 Days	35 Days	35 Days	35 Days	35 Days	35 Days	35 Days	35 Days	35 Days	35 Days	35 Days	35 Days
Creditors Days	69 Days	42 Days	36 Days	63 Days	50 Days	50 Days	50 Days	50 Days	50 Days	50 Days	50 Days	50 Days	50 Days	50 Days	50 Days	50 Days	50 Days	50 Days	50 Days
Cash Conversion Days	34 Days	92 Days	61 Days	61 Days	88 Days	73 Days	70 Days	66 Days	67 Days	64 Days	62 Days	59 Days	60 Days	54 Days	46 Days	39 Days	35 Days	32 Days	29 Days
Leverage Ratio / Solvency Ratio																			
Total Debt	₹ 415	₹ 848	₹ 637	₹ 768	₹ 499	₹ 522	₹ 543	₹ 570	₹ 602	₹ 603	₹ 635	₹ 615	₹ 638	₹ 521	₹ 417	₹ 333	₹ 267	₹ 213	₹ 149
Total Equity	₹ 684	₹ 726	₹ 1,070	₹ 1,255	₹ 1,904	₹ 2,308	₹ 2,784	₹ 3,371	₹ 4,117	₹ 5,026	₹ 6,114	₹ 7,375	₹ 8,803	₹ 10,395	₹ 11,910	₹ 13,268	₹ 14,815	₹ 16,476	₹ 18,200
Debt to Equity Ratio	60.7%	116.8%	59.5%	61.2%	26.2%	22.6%	19.5%	16.9%	14.6%	12.0%	10.4%	8.3%	7.2%	5.0%	3.5%	2.5%	1.8%	1.3%	0.8%
Total Debt	₹ 415	₹ 848	₹ 637	₹ 768	₹ 499	₹ 522	₹ 543	₹ 570	₹ 602	₹ 603	₹ 635	₹ 615	₹ 638	₹ 521	₹ 417	₹ 333	₹ 267	₹ 213	₹ 149
Total Assets	₹ 1,449	₹ 2,124	₹ 2,432	₹ 2,794	₹ 3,152	₹ 3,615	₹ 4,157	₹ 4,838	₹ 5,695	₹ 6,697	₹ 7,918	₹ 9,269	₹ 10,840	₹ 12,384	₹ 13,922	₹ 15,320	₹ 16,890	₹ 18,597	₹ 20,325
Debt to Assets Ratio	28.6%	39.9%	26.2%	27.5%	15.8%	14.4%	13.1%	11.8%	10.6%	9.0%	8.0%	6.6%	5.9%	4.2%	3.0%	2.2%	1.6%	1.1%	0.7%
Total Equity	₹ 684	₹ 726	₹ 1,070	₹ 1,255	₹ 1,904	₹ 2,308	₹ 2,784	₹ 3,371	₹ 4,117	₹ 5,026	₹ 6,114	₹ 7,375	₹ 8,803	₹ 10,395	₹ 11,910	₹ 13,268	₹ 14,815	₹ 16,476	₹ 18,200
Total Assets	₹ 1,449	₹ 2,124	₹ 2,432	₹ 2,794	₹ 3,152	₹ 3,615	₹ 4,157	₹ 4,838	₹ 5,695	₹ 6,697	₹ 7,918	₹ 9,269	₹ 10,840	₹ 12,384	₹ 13,922	₹ 15,320	₹ 16,890	₹ 18,597	₹ 20,325
Equity Ratio	47.2%	34.2%	44.0%	44.9%	60.4%	63.8%	67.0%	69.7%	72.3%	75.1%	77.2%	79.6%	81.2%	83.9%	85.5%	86.6%	87.7%	88.6%	89.5%
Efficiency Ratio																			
Sales	₹ 829	₹ 1,551	₹ 2,188	₹ 1,929	₹ 2,550	₹ 2,958	₹ 3,550	₹ 4,437	₹ 5,546	₹ 6,836	₹ 8,305	₹ 9,946	₹ 11,736	₹ 13,496	₹ 15,386	₹ 17,232	₹ 18,955	₹ 20,472	₹ 21,495
Total Assets	₹ 1,449	₹ 2,124	₹ 2,432	₹ 2,794	₹ 3,152	₹ 3,615	₹ 4,157	₹ 4,838	₹ 5,695	₹ 6,697	₹ 7,918	₹ 9,269	₹ 10,840	₹ 12,384	₹ 13,922	₹ 15,320	₹ 16,890	₹ 18,597	₹ 20,325
Asset Turnover Ratio	57.2%	73.0%	90.0%	69.0%	80.9%	81.8%	85.4%	91.7%	97.4%	102.1%	104.9%	107.3%	108.3%	109.0%	110.5%	112.5%	112.2%	110.1%	105.8%
Change in Revenue	0	₹ 722	₹ 637	(₹ 259)	₹ 621	₹ 408	₹ 592	₹ 887	₹ 1,109	₹ 1,290	₹ 1,470	₹ 1,640	₹ 1,790	₹ 1,760	₹ 1,889	₹ 1,846	₹ 1,723	₹ 1,516	₹ 1,024
Change in Total Assets	0	₹ 675	₹ 308	₹ 362	₹ 358	₹ 463	₹ 542	₹ 681	₹ 857	₹ 1,001	₹ 1,221	₹ 1,352	₹ 1,571	₹ 1,544	₹ 1,538	₹ 1,399	₹ 1,570	₹ 1,707	₹ 1,728
Reinvestment Ratio		1.1x	2.1x	-0.7x	1.7x	0.9x	1.1x	1.3x	1.3x	1.3x	1.2x	1.2x	1.1x	1.1x	1.2x	1.3x	1.1x	0.9x	0.6x
COGS	₹ 385	₹ 761	₹ 1,115	₹ 1,061	₹ 1,353	₹ 1,627	₹ 1,952	₹ 2,440	₹ 3,017	₹ 3,678	₹ 4,418	₹ 5,231	₹ 6,103	₹ 6,613	₹ 7,539	₹ 8,444	₹ 9,099	₹ 9,826	₹ 10,318
Inventory	₹ 54	₹ 154	₹ 212	₹ 263	₹ 388	₹ 394	₹ 453	₹ 542	₹ 676	₹ 794	₹ 930	₹ 1,064	₹ 1,256	₹ 1,256	₹ 1,256	₹ 1,256	₹ 1,256	₹ 1,256	₹ 1,256
Inventory Turnover Ratio	7.1x	4.9x	5.3x	4.0x	3.5x	4.1x	4.3x	4.5x	4.5x	4.6x	4.8x	4.9x	4.9x	5.3x	6.0x	6.7x	7.2x	7.8x	8.2x

Ratio Analysis

Profitability / Margin Ratio																			
Gross Profit	₹ 444	₹ 790	₹ 1,073	₹ 868	₹ 1,197	₹ 1,331	₹ 1,597	₹ 1,997	₹ 2,529	₹ 3,158	₹ 3,887	₹ 4,714	₹ 5,633	₹ 6,883	₹ 7,847	₹ 8,788	₹ 9,857	₹ 10,645	₹ 11,178
Total Sales	₹ 829	₹ 1,551	₹ 2,188	₹ 1,929	₹ 2,550	₹ 2,958	₹ 3,550	₹ 4,437	₹ 5,546	₹ 6,836	₹ 8,305	₹ 9,946	₹ 11,736	₹ 13,496	₹ 15,386	₹ 17,232	₹ 18,955	₹ 20,472	₹ 21,495
Gross Margin	53.6%	50.9%	49.0%	45.0%	46.9%	45.0%	45.0%	45.0%	45.6%	46.2%	46.8%	47.4%	48.0%	51.0%	51.0%	51.0%	52.0%	52.0%	52.0%
EBITDA	₹ 262	₹ 510	₹ 689	₹ 481	₹ 711	₹ 769	₹ 923	₹ 1,154	₹ 1,475	₹ 1,859	₹ 2,309	₹ 2,825	₹ 3,403	₹ 4,319	₹ 4,923	₹ 5,514	₹ 6,255	₹ 6,756	₹ 7,093
Total Sales	₹ 829	₹ 1,551	₹ 2,188	₹ 1,929	₹ 2,550	₹ 2,958	₹ 3,550	₹ 4,437	₹ 5,546	₹ 6,836	₹ 8,305	₹ 9,946	₹ 11,736	₹ 13,496	₹ 15,386	₹ 17,232	₹ 18,955	₹ 20,472	₹ 21,495
EBITDA Margin	31.6%	32.9%	31.5%	24.9%	27.9%	26.0%	26.0%	26.0%	26.6%	27.2%	27.8%	28.4%	29.0%	32.0%	32.0%	32.0%	33.0%	33.0%	33.0%
EBIT	₹ 188	₹ 424	₹ 580	₹ 357	₹ 579	₹ 604	₹ 715	₹ 892	₹ 1,150	₹ 1,459	₹ 1,823	₹ 2,245	₹ 2,717	₹ 3,521	₹ 4,010	₹ 4,480	₹ 5,096	₹ 5,466	₹ 5,668
Total Sales	₹ 829	₹ 1,551	₹ 2,188	₹ 1,929	₹ 2,550	₹ 2,958	₹ 3,550	₹ 4,437	₹ 5,546	₹ 6,836	₹ 8,305	₹ 9,946	₹ 11,736	₹ 13,496	₹ 15,386	₹ 17,232	₹ 18,955	₹ 20,472	₹ 21,495
EBIT Margin	22.7%	27.4%	26.5%	18.5%	22.7%	20.4%	20.2%	20.1%	20.7%	21.3%	21.9%	22.6%	23.2%	26.1%	26.1%	26.0%	26.9%	26.7%	26.4%
Net Profit	₹ 101	₹ 254	₹ 354	₹ 196	₹ 358	₹ 434	₹ 518	₹ 652	₹ 847	₹ 1,083	₹ 1,359	₹ 1,681	₹ 2,041	₹ 2,652	₹ 3,031	₹ 3,395	₹ 3,867	₹ 4,153	₹ 4,311
Total Sales	₹ 829	₹ 1,551	₹ 2,188	₹ 1,929	₹ 2,550	₹ 2,958	₹ 3,550	₹ 4,437	₹ 5,546	₹ 6,836	₹ 8,305	₹ 9,946	₹ 11,736	₹ 13,496	₹ 15,386	₹ 17,232	₹ 18,955	₹ 20,472	₹ 21,495
Net Profit Margin	12.2%	16.4%	16.2%	10.1%	14.0%	14.7%	14.6%	14.7%	15.3%	15.8%	16.4%	16.9%	17.4%	19.6%	19.7%	19.7%	20.4%	20.3%	20.1%
Net Income	₹ 101	₹ 254	₹ 354	₹ 196	₹ 358	₹ 434	₹ 518	₹ 652	₹ 847	₹ 1,083	₹ 1,359	₹ 1,681	₹ 2,041	₹ 2,652	₹ 3,031	₹ 3,395	₹ 3,867	₹ 4,153	₹ 4,311
Total Assets	₹ 1,449	₹ 2,124	₹ 2,432	₹ 2,794	₹ 3,152	₹ 3,615	₹ 4,157	₹ 4,838	₹ 5,695	₹ 6,697	₹ 7,918	₹ 9,269	₹ 10,840	₹ 12,384	₹ 13,922	₹ 15,320	₹ 16,890	₹ 18,597	₹ 20,325
Retur on Assets	7.0%	11.9%	14.5%	7.0%	11.4%	12.0%	12.5%	13.5%	14.9%	16.2%	17.2%	18.1%	18.8%	21.4%	21.8%	22.2%	22.9%	22.3%	21.2%
Net Income	₹ 101	₹ 254	₹ 354	₹ 196	₹ 358	₹ 434	₹ 518	₹ 652	₹ 847	₹ 1,083	₹ 1,359	₹ 1,681	₹ 2,041	₹ 2,652	₹ 3,031	₹ 3,395	₹ 3,867	₹ 4,153	₹ 4,311
Total Equity	₹ 684	₹ 726	₹ 1,070	₹ 1,255	₹ 1,904	₹ 2,308	₹ 2,784	₹ 3,371	₹ 4,117	₹ 5,026	₹ 6,114	₹ 7,375	₹ 8,803	₹ 10,395	₹ 11,910	₹ 13,268	₹ 14,815	₹ 16,476	₹ 18,200
Return on Equity	14.8%	34.9%	33.1%	15.6%	18.8%	18.8%	18.6%	19.4%	20.6%	21.5%	22.2%	22.8%	23.2%	25.5%	25.4%	25.6%	26.1%	25.2%	23.7%
Coverage Ratio																			
Total Debt	₹ 415	₹ 848	₹ 637	₹ 768	₹ 499	₹ 522	₹ 543	₹ 570	₹ 602	₹ 603	₹ 635	₹ 615	₹ 638	₹ 521	₹ 417	₹ 333	₹ 267	₹ 213	₹ 149
EBITDA	₹ 262	₹ 510	₹ 689	₹ 481	₹ 711	₹ 769	₹ 923	₹ 1,154	₹ 1,475	₹ 1,859	₹ 2,309	₹ 2,825	₹ 3,403	₹ 4,319	₹ 4,923	₹ 5,514	₹ 6,255	₹ 6,756	₹ 7,093
Debt to EBITDA Ratio	158.5%	166.2%	92.4%	159.8%	70.1%	67.8%	58.8%	49.4%	40.8%	32.4%	27.5%	21.8%	18.8%	12.1%	8.5%	6.0%	4.3%	3.2%	2.1%
EBIT	₹ 188	₹ 424	₹ 580	₹ 357	₹ 579	₹ 604	₹ 715	₹ 892	₹ 1,150	₹ 1,459	₹ 1,823	₹ 2,245	₹ 2,717	₹ 3,521	₹ 4,010	₹ 4,480	₹ 5,096	₹ 5,466	₹ 5,668
Dep	₹ 71	₹ 83	₹ 106	₹ 120	₹ 129	₹ 161	₹ 204	₹ 258	₹ 322	₹ 397	₹ 483	₹ 579	₹ 686	₹ 798	₹ 914	₹ 1,034	₹ 1,160	₹ 1,290	₹ 1,426
Interest	₹ 34	₹ 48	₹ 67	₹ 73	₹ 53	₹ 39	₹ 41	₹ 43	₹ 45	₹ 46	₹ 48	₹ 48	₹ 48	₹ 45	₹ 36	₹ 29	₹ 23	₹ 18	₹ 14
Debt Repayment	₹ 415	₹ 433	(₹ 211)	₹ 131	(₹ 269)	₹ 23	₹ 21	₹ 27	₹ 32	₹ 1	₹ 32	(₹ 20)	₹ 23	(₹ 117)	(₹ 104)	(₹ 83)	(₹ 67)	(₹ 53)	(₹ 64)
Total Debt	₹ 415	₹ 848	₹ 637	₹ 768	₹ 499	₹ 522	₹ 543	₹ 570	₹ 602	₹ 603	₹ 635	₹ 615	₹ 638	₹ 521	₹ 417	₹ 333	₹ 267	₹ 213	₹ 149
Debt Service Coverage Ratio		1.05x	10.24x	2.34x	13.36x	12.37x	14.82x	16.43x	19.14x	38.82x	28.92x	58.68x	47.72x	96.78x	136.40x	190.96x	270.77x	365.55x	508.00x
EBIT	₹ 188	₹ 424	₹ 580	₹ 357	₹ 579	₹ 604	₹ 715	₹ 892	₹ 1,150	₹ 1,459	₹ 1,823	₹ 2,245	₹ 2,717	₹ 3,521	₹ 4,010	₹ 4,480	₹ 5,096	₹ 5,466	₹ 5,668
Interest Expense	₹ 34	₹ 48	₹ 67	₹ 73	₹ 53	₹ 39	₹ 41	₹ 43	₹ 45	₹ 46	₹ 48	₹ 48	₹ 48	₹ 45	₹ 36	₹ 29	₹ 23	₹ 18	₹ 14
Interest Coverage Ratio	552.4%	884.0%	866.3%	489.2%	1092.2%	1538.1%	1745.7%	2083.5%	2549.3%	3145.1%	3823.3%	4664.2%	5630.4%	7890.1%	11108.4%	15514.1%	22057.6%	29574.4%	%

Comparable Comps - Descriptions

Gujarat Alkalies and Chemicals Limited
(GACL)

Gujarat Alkalies and Chemicals Limited is one of India's leading producers of chlor-alkali and inorganic chemicals. The company manufactures a wide range of industrial chemicals used in sectors such as textiles, paper, water treatment, and pharmaceuticals. With a strong presence in the chlor-alkali value chain, GACL plays an important role in supplying base chemicals to various downstream industries.

Gujarat Narmada Valley Fertilizers &
Chemicals Limited (GNFC)

Gujarat Narmada Valley Fertilizers & Chemicals Limited is a diversified enterprise engaged in both fertilizers and industrial chemicals. The company produces agricultural fertilizers alongside a variety of industrial chemicals that serve sectors such as pharmaceuticals, chemicals, and manufacturing. Its integrated operations make it an important participant in both the agricultural and industrial chemical markets in India.

Chemplast Sanmar Limited

Chemplast Sanmar Limited is a leading manufacturer of specialty chemicals and chlorochemicals, with a strong presence in the production of PVC resins and custom-manufactured chemicals for global clients. The company serves industries such as construction, automotive, and industrial manufacturing through its portfolio of specialty and commodity chemical products

This space is left intentionally.

Relative Valuation - Benchmarking

Summary						
	FY2021	FY2022	FY2023	FY2024	FY2025	Historical Average
Average Revenue Growth	61.2%	57.3%	17.8%	-3.4%	16.0%	29.8%
Average EBITDA Growth	23.4%	28.5%	21.8%	10.7%	14.6%	19.8%
Average EBIT Growth	17.1%	24.3%	17.5%	4.7%	8.8%	14.5%
Average PBT Growth	15.5%	21.7%	15.4%	2.4%	8.3%	12.7%
Average PAT Growth	10.9%	15.5%	10.7%	1.6%	4.4%	8.6%
Median Revenue Growth	26.5%	54.9%	19.2%	-18.1%	8.9%	19.2%
Median EBITDA Growth	22.4%	29.2%	21.6%	7.3%	10.6%	21.6%
Median EBIT Growth	18.1%	24.6%	17.1%	3.4%	6.4%	17.1%
Median PBT Growth	16.4%	23.4%	17.1%	1.2%	7.0%	16.4%
Median PAT Growth	11.5%	15.7%	11.7%	1.1%	3.0%	11.5%

Revenue growth						
in %	FY2021	FY2022	FY2023	FY2024	FY2025	
Gujarat Alkalies & Chemicals Ltd (GAKL)	-11%	55%	20%	-16%	7%	
Gujarat Narmada Valley Fertilizers & Chemicals Ltd (GNFC)	-1%	68%	18%	-22%	0%	
Chemplast Sanmar Ltd	203%	55%	-16%	-21%	11%	
EPIGRAL	54%	51%	49%	45%	47%	
Mean	61%	57%	18%	-3%	16%	
Median	26.5%	54.9%	19.2%	-18.1%	8.9%	

EBITDA Margin						
in %	FY2021	FY2022	FY2023	FY2024	FY2025	
Gujarat Alkalies & Chemicals Ltd (GAKL)	17.45%	27.41%	21.95%	3.20%	9.11%	
Gujarat Narmada Valley Fertilizers & Chemicals Ltd (GNFC)	24.86%	30.96%	21.34%	10.22%	11.64%	
Chemplast Sanmar Ltd	19.98%	22.64%	12.35%	4.38%	9.62%	
EPIGRAL	31.50%	32.90%	31.50%	24.94%	27.90%	
Mean	23%	28%	22%	11%	15%	
Median	22.4%	29.2%	21.6%	7.3%	10.6%	

EBIT Margin					
in %	FY2021	FY2022	FY2023	FY2024	FY2025
Gujarat Alkalies & Chemicals Ltd (GAKL)	10.29%	22.14%	15.84%	-6.70%	-0.52%
Gujarat Narmada Valley Fertilizers & Chemicals Ltd (GNFC)	19.65%	27.59%	18.37%	6.33%	7.79%
Chemplast Sanmar Ltd	16.53%	20.32%	9.47%	0.54%	5.04%
EPIGRAL	22.07%	27.04%	26.50%	18.50%	22.70%
Mean	17%	24%	18%	5%	9%
Median	18.1%	24.6%	17.1%	3.4%	6.4%

PAT MARGIN					
in %	FY2021	FY2022	FY2023	FY2024	FY2025
Gujarat Alkalies & Chemicals Ltd (GAKL)	6.83%	14.90%	9.08%	-6.23%	-1.60%
Gujarat Narmada Valley Fertilizers & Chemicals Ltd (GNFC)	13.59%	19.79%	14.39%	6.27%	7.58%
Chemplast Sanmar Ltd	10.79%	11.02%	3.08%	-4.02%	-2.53%
EPIGRAL	12.20%	16.40%	16.20%	10.20%	14.00%
Mean	11%	16%	11%	2%	4%
Median	11.5%	15.7%	11.7%	1.1%	3.0%

PBT MARGIN					
in %	FY2021	FY2022	FY2023	FY2024	FY2025
Gujarat Alkalies & Chemicals Ltd (GAKL)	9.67%	21.97%	15.39%	-7.88%	-1.71%
Gujarat Narmada Valley Fertilizers & Chemicals Ltd (GNFC)	18.48%	26.59%	18.89%	8.21%	10.01%
Chemplast Sanmar Ltd	14.40%	13.51%	3.48%	-5.76%	3.89%
EPIGRAL	19.40%	24.80%	23.90%	15.10%	21.20%
Mean	15%	22%	15%	2%	8%
Median	16.4%	23.4%	17.1%	1.2%	7.0%

Relative Valuation

In INR Crores

Market Data													Financials						Multiples					
													2025A	2026F	2025A	2026F	2025A	2026F	2025A	2026F	2025A	2026F	2025A	2026F
Relative Valuation	Ticker	Share Price	Market Cap	Debt	Cash	Enterprise Value	Sales	Sales	EBITDA	EBITDA	PAT	PAT	EV/Sales	EV/Sales	EV/EBITDA	EV/EBITDA	P/E	P/E	EV/Sales	EV/Sales	EV/EBITDA	EV/EBITDA	P/E	P/E
Gujarat Alkalies & Chemicals Ltd	GUJALKALI	473	3259	561	134	3,686	4,073	4,391	371	521	-65	64	0.90x	0.84x	9.94x	7.07x	50.14x	50.92x						
Gujarat Narmada Valley Fertilizers & Chemicals Ltd	GNFC	464	6955	106	2,308	4753	7,892	0	918	0	598	0	0.60x	0.00x	5.18x	0.00x	11.63x	0.00x						
Chemplast Sanmar Ltd	CHEMPLASTS	256	4032	1,842	724	5,150	4,346	5065	418	301	-110	-697	1.18x	1.02x	12.32x	17.11x	36.65x	5.78x						
Epigral	EPIGRAL	992	4442	593	22	5013	2,550	2958	711	769	358	434	1.97x	1.69x	7.05x	6.52x	12.41x	10.24x						
High													1.18x	1.02x	12.32x	17.11x	50.14x	50.92x						
75th Percentile													1.04x	0.93x	11.13x	12.09x	43.40x	28.35x						
Average													0.90x	0.62x	9.14x	8.06x	32.81x	18.90x						
Median													0.90x	0.84x	9.94x	7.07x	36.65x	5.78x						
25th Percentile													0.75x	0.42x	7.56x	3.54x	24.14x	2.89x						
Low													0.60x	0.00x	5.18x	0.00x	11.63x	0.00x						

Relative Valuation - EV/EBITDA			Relative Valuation - EV/Sales			Relative Valuation - P/E		
Sales	2,550		Sales		2,550	Sales		2,550
EBITDA	711		EBITDA		711	EBITDA		711
Earnings	358		Earnings		358	Earnings		358
Valuation Multiple	EV/EBITDA		Valuation Multiple	EV/Sales		Valuation Multiple	Price/Pat	
EV/EBITDA	9.94x		EV/Sales	0.90x		Price/Pat	36.65x	
Enterprise Value	7064.		Enterprise Value	2307.7093		Equity Value	13122.327	
Less: Debt	(499)		Less: Debt	(499)		Less: Debt	(499)	
Add: Cash	22		Add: Cash	22		Add: Cash	22	
Less: Minority Interest	0		Less: Minority Interest	0		Less: Minority Interest	0	
Add: Non Operating Assets	76		Add: Non Operating Assets	76		Add: Non Operating Assets	76	
Equity Value	6,663		Equity Value	1,907		Equity Value	12,721	
Less: Equity Options	0		Less: Equity Options	0		Less: Equity Options	0	
Equity Value for Shareholders	6,663		Equity Value for Shareholders	1,907		Equity Value for Shareholders	12,721	

Valuation Summary

Valuation Methods	Enterprise Value	Equity Value Available for Equity Shareholders	Value Per Share	Market Price	Discount/ Premium	Discount/ Premium %	Interpretaion
Discounted Cash Flow - Perpetuity Growth	₹ 4,588	₹ 4,187	₹ 971	₹ 884	₹ 87	9.89%	Slight undervaluation
Discounted Cash Flow - Exit Multiple	₹ 9,090	₹ 8,689	₹ 2,016	₹ 884	₹ 1,132	128.04%	Very undervalued
Relative Valuation - EV/EBITDA	₹ 7,064	₹ 6,663	₹ 1,546	₹ 884	₹ 662	74.88%	Undervalued
Relative Valuation - EV/Sales	₹ 2,308	₹ 1,907	₹ 442	₹ 884	-₹ 442	-49.96%	Overvalued
Relative Valuation - Price/Earnings	₹ 13,122	₹ 12,721	₹ 2,952	₹ 884	₹ 2,068	233.89%	Very undervalued

The DCF analysis suggests that the company is moderately undervalued, with the intrinsic value under the perpetuity growth approach indicating roughly 9.9% upside compared with the current market price. Under the exit multiple method, the valuation implies a significantly higher potential upside of approximately 128%, reflecting the sensitivity of terminal assumptions and exit multiples in the model. Relative valuation methods provide mixed signals but generally support the view of undervaluation.

The EV/EBITDA approach indicates an upside of around 74.9%, suggesting the stock may be trading below peer valuation levels if operating performance continues to improve. However, the EV/Sales method points to an overvaluation of nearly 50%, indicating that the market price is relatively high when assessed purely on revenue multiples. This divergence is expected since sales-based multiples do not fully capture profitability advantages or margin strength.

Meanwhile, the P/E based valuation implies substantial upside of roughly 233.9%, highlighting that the company may appear significantly undervalued relative to earnings if it converges toward sector multiples. Overall, the valuation results suggest that most methods point toward potential undervaluation, with the exception of the EV/Sales metric.

This divergence reflects differences in how each method captures profitability, growth expectations and capital efficiency. Taken together, the analysis indicates that the market may not be fully pricing in the company’s earnings potential, although the wide range of valuation outcomes also highlights the sensitivity of results to the chosen methodology.

Acknowledgment

I would like to express my sincere gratitude to **CFA Parth Verma** and **The Valuation School** for their incredible support and guidance throughout this course.

The structured approach to learning valuation, the clarity in explaining complex financial concepts, and the practical insights into real-world company analysis have made this learning journey extremely valuable for me. The course not only helped me understand different valuation methodologies such as **DCF and relative valuation**, but also strengthened my ability to think like an analyst.

I truly appreciate the effort, dedication, and knowledge that CFA Parth Verma has shared with all of us. This experience has significantly improved my understanding of financial analysis and valuation.

Thank you once again for the continuous support and for building such a valuable learning platform.

Grateful to be a part of **The Valuation School** community.

Regards,

Himanshu Sharma

Himanshusharmasharma79@gmail.com

<https://www.linkedin.com/in/himanshu-sharma-investmentbanking/>

Disclaimer

This report has been prepared solely for educational and academic purposes as part of a valuation learning exercise. The analysis, assumptions, and conclusions presented in this report are based on publicly available information and may not reflect the complete financial position or future performance of the company.

The valuation methods used, including Discounted Cash Flow (DCF) and relative valuation multiples, are subject to assumptions regarding growth rates, margins, and market conditions. Changes in these assumptions may significantly impact the valuation outcomes.

This report does not constitute investment advice, a recommendation to buy or sell any securities, or a solicitation to make any financial decision. Readers should conduct their own independent research and consult with qualified financial professionals before making any investment decisions.

While every effort has been made to ensure the accuracy of the information presented, the author does not guarantee the completeness or reliability of the data and shall not be held responsible for any losses arising from the use of this report.

This work has been prepared as part of a learning exercise inspired by the teachings and guidance received during the valuation course conducted by CFA Parth Verma and The Valuation School.

This space is left intentionally.

Thank You !